

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 COMMITTEE SUBSTITUTE
5 FOR
6 HOUSE BILL NO. 1823

By: Newton of the House

and

Jech of the Senate

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11 COMMITTEE SUBSTITUTE

12 An Act relating to the Oklahoma Housing Finance
13 Agency; defining terms; limiting the administration
14 of certain funds; restricting rulemaking; requiring
15 time period for public comment; providing for
16 participant rights; providing for preemption;
17 providing for codification; and declaring an
18 emergency.

19 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

20 SECTION 1. NEW LAW A new section of law to be codified
21 in the Oklahoma Statutes as Section 2901.5 of Title 74, unless there
22 is created a duplication in numbering, reads as follows:

23 A. As used in this section:
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1 1. "HOME Program" means the federal HOME Investment
2 Partnerships Program authorized under Title II of the Cranston-
3 Gonzalez National Affordable Housing Act, 42 U.S.C., Section 12701
4 et seq., and the implementing regulations codified at 24 C.F.R.,
5 Part 92, as amended; and

6 2. "HOME funds" means all federal HOME allocations and related
7 program income disbursed to the State of Oklahoma and administered
8 by the Oklahoma Housing Finance Agency (OHFA).

9 B. Administration of Home Funds.

10 1. OHFA shall administer the HOME Program in compliance with
11 federal statute and regulation and shall treat HOME funds as federal
12 grants to eligible entities, including nonprofit organizations,
13 public agencies, Community Housing Development Organizations
14 (CHDOs), and local governments, in accordance with federal HOME
15 requirements.

16 2. OHFA shall at all times administer the HOME Program
17 consistent with the statutory purpose of the HOME Investment
18 Partnerships Program and shall not impose requirements, conditions,
19 or restrictions on HOME funds that are more stringent or broader in
20 scope than those required by federal HOME statute or implementing
21 federal regulations unless such stricter requirements are expressly
22 authorized by state statute or supported by statewide data and
23 stakeholder input.

24 C. Rulemaking and Public Input.

1 1. No rule, policy, manual, guidance, administrative procedure,
2 or other directive ("Program Rule Changes") relating to OHFA's
3 administration of HOME funds shall become effective without:

- 4 a. publication in the Oklahoma Register,
- 5 b. a minimum public comment period of not less than
6 thirty (30) days, and
- 7 c. consideration of all timely filed comments.

8 2. Retroactive application of any Program Rule Changes shall be
9 prohibited except to the extent expressly required by changes in
10 federal HOME statute or federal regulation. Under no circumstances
11 shall OHFA retroactively apply new rules to HOME awards, contracts,
12 agreements, or commitments already awarded or executed unless
13 required by federal HOME law.

14 D. Participant Rights.

15 1. Eligible nonprofit entities participating in the HOME
16 Program shall not be restricted from using third-party guarantors,
17 loan guaranty arrangements, or other legally recognized risk-sharing
18 mechanisms permitted under federal HOME regulations.

19 2. Nothing in this section shall be construed to limit
20 participants' rights under federal HOME statute or regulations,
21 including but not limited to rights related to compliance,
22 recordkeeping, and performance.

23 3. OHFA shall provide clear written notice, available publicly,
24 of any changes to HOME Program eligibility, standards, written

1 agreements, or requirements at least sixty (60) days prior to
2 implementation. Such notice shall include a specific explanation of
3 any change relative to previous policies.

4 4. Eligible entities are entitled to a minimum developer fee of
5 fifteen percent (15%) with a guaranteed minimum ten percent (10%)
6 drawdown of developer fees with each reimbursement request to cover
7 overhead and operating costs.

8 5. OHFA will remove participation penalties if monitoring
9 findings are resolved within thirty (30) days.

10 6. Participants and the general public are entitled to submit
11 written comments on program policies and procedures and the
12 administration of funding by OHFA staff to the OHFA Executive
13 Director and the OHFA Board of Trustees.

14 7. Nonprofit Community Housing Development Organizations
15 (CHDOs) are guaranteed retention of program proceeds.

16 E. Conflicts; Preemption.

17 1. In the event of any conflict between this section and
18 another provision of state law, this section shall control with
19 respect to OHFA's administration of the federal HOME Program to the
20 extent permitted by federal law.

21 2. OHFA's obligations under this section are subject to
22 compliance with, and shall be interpreted consistently with, federal
23 HOME statute and HUD requirements.

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SECTION 2. It being immediately necessary for the preservation of the public peace, health or safety, an emergency is hereby declared to exist, by reason whereof this act shall take effect and be in full force from and after its passage and approval.

COMMITTEE REPORT BY: COMMITTEE ON RULES, dated 03/09/2026 - DO PASS,
As Amended and Coauthored.